Ratios: Soft logic Life June - 2024

Here, there are around 80 financial ratios were calculated for soft logic life in June, 2024. This ratios will be used to develop a quantitative stock screening system.

Asset coverage ratio

Asset coverage ratio = ((total assets – intangible assets) –(current liabilities – short term debt))/total debt

Total assets = 55,073,890

Intangible assets = 1,970

Current liabilities = Reinsurance Payables + Other Liabilities + Bank Overdraft + Repayable within one year (Loan movement 2023)

= 1,012,190 + 4,154,822 + 411,836 + 155338 = 5734186

Calculating Short term debt for June 2024 = Repayable within one year (Loan movement 2023) + bank overdraft (June 2024) = 155338 + 411836 = 567174

Total debt = Loans and Borrowings + Bank Overdraft = 4,729,837 + 411,836 = 5141673

Asset coverage ratio = ((55,073,890 - 1,970)- (5734186 – 567174))/ 5141673

= 9.70596807692749

Interest Coverage Ratio

Interest Coverage Ratio = EBIT (Earnings before interest and Tax/ Interest expense

= Profit before Tax + Finance Cost/ Finance Cost

= (1723670 + 158596)/ 158596

= 11.86830689298595

Debt to Capital Ratio

Debt to Capital = Total Debt / Total Debt + Shareholder's equity

= (Loans and borrowings + bank overdraft) / (Loans and borrowings + bank overdraft + total equity)

= (4729837+411836)/ (4729837+411836+14417748)

= 0.26287449919913273506409008732927

Debt to Income Ratio

Debt to Income Ratio = Quarterly debt payment / Quarterly income

= Finance cost / Gross written premiums

= 158596/7373670

= 0.0215

Cash flow to debt ratio

Cash flow to debt ratio = Operating cash flow / total debt

= (Net cash generated from operating activities (2024 June) - Net cash generated from operating activities (2024 March)) / Loans and Borrowings

= (3048564 – 1850987)/ 4729837

= 0.25319625179472358138345993741433

Asset Turnover ratio

Asset Turnover ratio = Net Sales / Average Total Assets

= Net written premiums / Average Total Assets

= 13,249,603 /(55,073,890 + 51,339,422)/2

= 0.24902153219326544408278543195799

Net income

Net Income = Total Revenue – Total Expenses

= Profit for the period

= 1,202,595

Accounts Receivable turn over

In the insurance industry, this ratio typically uses Gross Written Premium (GWP) as revenue and Premiums Receivable as accounts receivable.

Account receivable turn over = Net credit Sales/ Average Account Receivable

= Gross Written Premium / Premium receivables

= 7373670/2,033,309

= 3.626438480329354761130747958131 3

Sales to Administrative expenses

Sales to Administrative expenses = Total Sales / Administrative Expenses

= Gross written premiums / Other operating and ` administration expenses

= 7373670/1373572

= 5.36824425658065248854810668825 51

2 is normal but 4 and above is good.

Return on Operating Assets" (ROOA)

Cash and cash equivalents = 1,379,651

Receivables and other assets = 1,601,112

Premium receivables = 2,033,309

Reinsurance receivables = 623,318

Right of use assets = 609,992

Property, plant and equipment = 704,102

Intangible assets = 1,970

Operating assets = 1,379,651 + 1,601,112 + 2,033,309 + 623,318 + 609,992 + 704,102 + 1,970 = 6953454

Profit for the period = 1,202,595

Return on Operating Assets" (ROOA) = 1,202,595 / 6,953,454 = 0.1729492997

Equity Multiplier

Equity Multiplier = Total Assets/ Total Share holders' equity

= 55,073,890 / 14,417,748

= 3.819867707494956910052804363067

Fixed Asset turnover ratio

Fixed Asset = Property, plant and equipment (No other line items) = 704,102

Net Sales = Net earned premiums = 6,722,416

Note: Average value of fixed asset has to be considered

Fixed asset turnover ratio = 6,722,416 / 704,102 = 9.547503060636101019454567662071 7

Days working capital

Days working capital = Average working capital x 365 / Sales Revenue

Working Capital = Current Assets – Current Liabilities

Current Assets = Premium receivables + Receivables and other assets + Cash and cash equivalents = 2,033,309 + 1,601,112 + 1,379,651 = 5,014,072

Current Liabilities = Reinsurance payables + Other liabilities + Bank overdraft

= 1,012,190 + 4,154,822 + 411,836 = 5,578,848

Sales revenue = Gross written premiums = 7,373,670

Days working capital = (5,014,072 - 5,578,848) x 365 / 7373670 = -27.956667439687428376914073995717

Working Capital turnover ratio

Working Capital turnover ratio = Cost of good sales / Average working capital

Average working capital = (Opening working capital + closing working capital)/2

Working Capital = Current Assets – Current Liabilities

= 5,014,072 - 5,578,848 = -564,776

Cost of good sales = Premiums ceded to reinsurers = 651,254

Working Capital turnover ratio = 651,254 / -564,776 = -1.153119112710171820332308738331 7

Day cash on hand

Day cash on hand = Cash and cash equivalent * 365 / (operating expenses – non-cash expenses)

Cash and cash equivalent = 1,379,651

Operating expenses = Net insurance benefits and claims paid + Underwriting and net acquisition cost (Net of reinsurance) + Other operating and administration expenses + Impairment provision on financial investments

= 3,397,714 + 1,427,852 + 1,373,572 + 180,293

= 6,199,138

Non-cash expenses = Net change in insurance claims outstanding + Change in insurance contracts liabilities = 27,083 + 1,375,849

= 1,402,932

Day cash on hand = 1,379,651 x 365 / (6,199,138 - 1,402,932)

= 1,379,651 x 365 / 4,796,206 = 104.9939

Capital Intensity Ratio

Capital Intensity Ratio = Total Assets / Sales

= 55,073,890 /7,373,670

= 7.468993

Capital Intensity Ratio = 1/ Asset turnover ratio

Sales to equity ratio

Sales to equity ratio = Net sales/ shareholders' equity

= Net earned premiums / Total equity = 6,722,416 / 14,417,748

= 0.4662597

Sales to fixed asset ratio

Sales to fixed asset ratio = Net sales /(Average fixed assets – depreciation)

Fixed Asset = Property, plant and equipment (No other line items) = 704,102

Net Sales = Net earned premiums = 6,722,416

Depreciation of property, plant and equipment = 70,407

Sales to fixed asset ratio = 6722416/ (704102-70407) = 10.60828

Investment turnover ratio

Investment turnover ratio = Net sales/ (Share holders' equity + outstanding debt)

Net Sales = Net earned premiums = 6,722,416

Share holders' equity = Total equity = 14,417,748

outstanding debt = Loans and borrowings + Bank overdraft

= 4,729,837 + 411,836 = 5,141,673

Investment turnover ratio = 6,722,416 / (14,417,748 + 5,141,673) = 0.34369197

Sales to operating income ratio

Sales to operating income ratio = Net sales / Operating Income

Net Sales = Net earned premiums = 6,722,416

Operating Income = EBIT = Profit before tax + Finance Cost = 1,723,670 + 158,596

= 1,882,266

Sales to operating income ratio = 6,722,416 / 1,882,266 = 3.5714484562

Net working capital

Net Working Capital = Current Assets – Current Liabilities

= 5,014,072 - 5,578,848 = -564,776

When you have a negative net working capital, this says to investors and creditors that the company is not producing enough capital to pay its current debt.

Current Ratio

Current Ratio = Current Assets / Current Liabilities

= 5,014,072 / 5,578,848 = 0.89876476

Most companies having a current ratio ranging from 1.5 to 3 and are considered to be financially healthy.

Quick Ratio

Quick Ratio = (Cash + Cash Equivalent + Short term investment + Current Receivables)/ (Current liabilities)

Cash + Cash Equivalent = 1,379,651

Reinsurance receivables = 623,318

Premium receivables = 2,033,309

Receivables and other assets = 1,601,112

Current Liabilities = 5,578,848

Quick Ratio = (1,379,651 + 623,318 + 2,033,309 + 1,601,112) / 5,578,848

= 1.01049356

Cash Ratio

Cash Ratio = (Cash + Cash Equivalent)/ (Current liabilities)

Cash + Cash Equivalent = 1,379,651

Current Liabilities = 5,578,848

Cash Ratio = 1,379,651 / 5,578,848 = 0.24730

Days Payable Outstanding

Days Payable Outstanding = Average Payables x Number of Days in Year / Cost of good sales

Average Payables = Reinsurance payables = 1,012,190

Cost of good sales = Premiums ceded to reinsurers = 651,254

Number of Days in Year = 365

Days Payable Outstanding = 1,012,190 x 365 / 651254 = 567.289

Z Score

Z Score = 1.2A + 1.4B + 3.3C + 0.6D + 1.0E

A = Working Capital / Total Assets = -564,776 / 55,073,890 = -0.0102

B = Retained Earning / Total Assets = 14,267,692 / 55,073,890 = 0.259

- Retained Earnings = Beginning RE + Net Income - Dividends Paid
- Found in the Shareholders' Equity section of the Balance Sheet.

C = Earnings Before Interest and Tax/ Total Assets = (Profit before tax + Finance Cost) / Total Assets = (1,723,670 + 158,596)/ 55,073,890 = 1,882,266 / 55,073,890 = 0.034177

D = Market Value of Equity / Total Liability = 38,400,000/ 40,656,142 = 0.9445

- In June 2024, the market value of equity (market capitalization) for Softlogic Life Insurance PLC was approximately LKR 38.4 billion (From Google)

E = Sales / Total Assets = Gross written premiums / Total Assets = 7,373,670/ 55,073,890 = = 0.13388

Z Score = 1.1637241

The graded scale for Altman score is:

0-1.8: indicates the company will declare bankruptcy in the future

1.8 – 3: indicates company will likely to declare bankruptcy

3: indicates the company will not declare bankruptcy

Defensive Interval Ratio

Defensive Interval Ratio = Current Assets/ Daily operational expenses

Current Assets = Premium receivables + Receivables and other assets + Cash and cash equivalents = 2,033,309 + 1,601,112 + 1,379,651 = 5,014,072

Daily operational expenses = Annual operating expenses – Non Cash Charges / 365 = Other operating and administration expenses / days in the period = 1,373,572 / 3 x 30 = 15,261.9

Defensive Interval Ratio = 5,014,072/ 15,261.9 = 328.5 days

Sales to Working Capital Ratio

Sales to Working Capital Ratio = Net sales / Average working Capital

Net Sales = Net earned premiums = 6,722,416

Average working capital = (Opening working capital + closing working capital)/2

Working Capital = Current Assets – Current Liabilities

= 5,014,072 - 5,578,848 = -564,776

Sales to Working Capital Ratio = 6,722,416 / -564,776 = -11.90

Cash to current liabilities Ratio

Cash to current liabilities Ratio = (Cash + Cash Equivalent + Marketable securities)/ Total current Liabilities

Marketable securities = Amortised Cost (AC) of Financial Instrument from Note 10. = 35,319,447

Cash and cash equivalents = 1,379,651

Current Liabilities = 5,578,848

Cash to current liabilities Ratio = (1,379,651 + 35,319,447)/ 5,578,848 = 6.5782

Working Capital to debt ratio

Working Capital to debt ratio = working capital/ total debt

Working Capital = Current Assets – Current Liabilities

= 5,014,072 - 5,578,848 = -564,776

Total debt = Loans and Borrowings + Bank Overdraft = 4,729,837 + 411,836 = 5141673

Working Capital to debt ratio = -564,776/ 5141673 = -0.1098

Cash flow Adequacy Ratio

Cash flow Adequacy Ratio = Cash flow from operation/ (Long term debt + Fixed Asset Purchased + Dividends paid)

Cash flow from operation = Net cash generated from operating activities = 3,048,564

Long term debt = Loans and borrowings = 4,729,837

Fixed Asset = Property, plant and equipment (No other line items) = 704,102

Dividends paid = 1,406,250

Cash flow Adequacy Ratio = 3,048,564/ (4,729,837+704,102+1,406,250) = 0.445684

Net sales to current assets ratio

Net sales to current assets ratio = Net sales/ current assets

= Net earned premiums / Current Assets

= 6,722,416/ 5,014,072

= 1.3407

Current Assets = Premium receivables + Receivables and other assets + Cash and cash equivalents = 2,033,309 + 1,601,112 + 1,379,651 = 5,014,072

Cash to current assets ratio

Cash to current assets ratio = (Cash + Cash Equivalent + Marketable securities)/ current assets

Marketable securities = Amortized Cost (AC) of Financial Instrument from Note 10. = 35,319,447

Cash and cash equivalents = 1,379,651

Current Assets = Premium receivables + Receivables and other assets + Cash and cash equivalents = 2,033,309 + 1,601,112 + 1,379,651 = 5,014,072

Cash to current assets ratio = (35,319,447 + 1,379,651)/ 5,014,072 = 7.319220

Cash to Working Capital Ratio

Cash to Working Capital Ratio = Cash and Cash equivalent/ working capital

= 1,379,651/ -564,776 = -2.4428

Net Debt

Short term debt for June 2024 = Repayable within one year (Loan movement 2023) + bank overdraft (June 2024) = 155338 + 411836 = 567,174

Long term debt = Loans and Borrowings = 4,729,837

Cash and cash equivalents = 1,379,651

Net debt = Short term debt + long term debt – Cash and Cash Equivalent

= 567,174 + 4,729,837 - 1,379,651 = 3,467,360

Capital Gain Yield

Capital Gain Yield = $(P_1 – P_0)/ P_0$

= (75.60 – 70)/70 = 0.08

Stock Price in June = 75.60

Stock Price in March = 70

Gross Profit Margin

Gross Profit Margin = (Total Sales – Cost of Good Sales)/ Total Sales

= Net earned premiums/ Gross written premiums

= 6,722,416 / 7,373,670

= 0.911678

Contribution Margin

Contribution Margin = Sales Revenue – Variable Cost

= Gross written premiums - Premiums ceded to reinsurers - Net insurance benefits and claims paid - Net change in insurance claims outstanding - Change in insurance contracts liabilities - Underwriting and net acquisition cost - Impairment provision on financial investments

= 7,373,670 - 651,254 - 3,397,714 - 27,083 - 1,375,849 - 1,427,852 - 180,293 = 313,625

EBIT

EBIT = Total Revenue – Cost of Good Sales – Operating Income

Or below (check later)

EBIT (Earnings before interest and Tax/ Interest expense)

= Profit before Tax + Finance Cost

= 1723670 + 158596 = 1,882,266

Earnings Per Share

Earnings Per Share = (Net Income – Preferred Income) / Weighted Average Common Shares

As of June 30, 2024, the Weighted Average Number of Ordinary Shares for Softlogic Life Insurance PLC was 375,000,000.

EPS = 3.21

Earnings before Interest, Taxes and Amortization (EBITA)

EBITA = Total Revenue – COGS – (Operating expenses + Amortization)

OR

= Net Income + Interest + Taxes + Amortization

= Profit for the period + Finance cost + Income tax expenses + Amortization of Intangible Assets

= 1,202,595 + 158,596 +521,075 + 341 + 148,228

= 1,882,607

Profit Margin

Profit Margin = Net Income/ Net Sales = Profit for the period/ Net earned premiums

= 1,202,595/ 6,722,416

= 0.17889

Earnings before Interest, Taxes Depreciation and Amortization (EBITDA)

EBITDA = Net Income + Interest + Taxes + Depreciation + Amortization

= Profit for the period + Finance cost + Income tax expenses + Depreciation of Right-of-Use (ROU) Assets + Amortization of Intangible Assets

= 1,202,595 + 158,596 +521,075 + 341 + 148,228

= 2,030,835

Return on Equity (ROE)

ROE = Net Income/ Share Holder's Equity

= Profit for the period/ Total equity

= 1,202,595/ 14,417,748

= 0.0834

Return on Investment - TBD

Return on Investment = Net Income/ Investment Cost

Net Profit Margin

Net Profit Margin = Net Profit/ Total Revenue = Profit for the period/ Gross written premiums = 1,202,595/ 7,373,670

= 0.16309

Return On Assets

Return on Assets = Net Income/Total Assets

= Profit for the period/ Total assets

= 1,202,595/ 55,073,890 = 0.0218360

Capitalization Ratio

Capitalization Ratio = Total Debt/ (Total Debt + Share Holder's Equity)

= (Loans and borrowings + bank overdraft) / (Loans and borrowings + bank overdraft + total equity)

= (4729837+411836)/ (4729837+411836+14417748)

= 0.26287449919913273506409008732927

// Does this repeat

Return On Sales

Return On Sales = Operating Profit/ Net Sales = Operating Profit/ Net earned premiums = 523,278/ 6,722,416 = 0.07784

Operating expenses = Net insurance benefits and claims paid + Underwriting and net acquisition cost (Net of reinsurance) + Other operating and administration expenses + Impairment provision on financial investments

= 3,397,714 + 1,427,852 + 1,373,572 + 180,293

= 6,199,138

Operating Profit (Operating Income) = Revenue - COGS – Operating expenses

= Net earned premiums – Operating expenses

= 6,722,416 - 6,199,138 = 523,278

Return On Net Assets

Return On Net Assets = Net Income/ Fixed Assets + working Capital

= Profit for the period/ (Property, plant and equipment (No other line items) + Working Capital)

= 1,202,595/ (704,102 -564,776)

= 1,202,595/ 139,326

= 8.63151

Working Capital = Current Assets – Current Liabilities

= 5,014,072 - 5,578,848 = -564,776

Operating Margin Ratio

Operating Margin Ratio = Operating Income/ Total Revenue

= Operating Income/ Gross written premiums

= 1,882,266/ 7,373,670 = 0.255268

Operating Income = EBIT = Profit before tax + Finance Cost = 1,723,670 + 158,596

= 1,882,266

Return on Capital Employed

Return on Capital Employed = EBIT/ Capital Employed = 1,882,266/ 49,339,704

= 0.0381

EBIT (Earnings before interest and Tax) = Profit before Tax + Finance Cost

= (1723670 + 158596) = 1,882,266

Capital Employed = Total Assets – current liabilities = 55,073,890 - 5734186

= 49,339,704

Current liabilities = Reinsurance Payables + Other Liabilities + Bank Overdraft + Repayable within one year (Loan movement 2023)

= 1,012,190 + 4,154,822 + 411,836 + 155338 = 5734186

Degree of operating leverages (DOL)

DOL = Contribution Margin/ Profit

= 313,625/ 1,202,595 = 0.26079

Gross Margin Ratio - TBD

Gross Margin Ratio = Gross Proft/ Net Sales

Goodwill to Asset Ratio - TBD

Goodwill to Asset Ratio = Goodwill/Total Assets

Net operating Income

Net operating Income = Gross Income – Operating Expenses = 7,373,670 - 2,801,424 = 4,572,246

Gross Income = Gross written premiums = 7,373,670

Operating Expenses = underwriting and net acquisition costs + Other operating and administration expenses = 1,427,852 + 1,373,572 = 2,801,424

Cost of Goods Sold - TBD

Cost of Goods Sold = Premiums ceded to reinsurers = 651,254

Return on Debt Ratio

Return on Debt Ratio = Net Income/ (Short term Debt + Long term Debt)

= 1,202,595/ (567,174 + 4,729,837) = 0.22703

Short term debt for June 2024 = Repayable within one year (Loan movement 2023) + bank overdraft (June 2024) = 155338 + 411836 = 567,174

Long term debt = Loans and Borrowings = 4,729,837

Net Income = Total Revenue – Total Expenses

= Profit for the period = 1,202,595

Operating Cash flow margin

Operating Cash flow margin = Cash flow from operations/ Net Sales

= Net cash generated from operating activities / Net earned premiums = 3,048,564 / 6,722,416

= 0.4534

Operating Income

Operating Income = Net operating Income = Gross Income – Operating Expenses = 7,373,670 - 2,801,424 = 4,572,246

Return on Average Equity Ratio

Return on Average Equity Ratio = Net Income/ Average Share Holders equity

= Profit for the period/ Total equity

= 1,202,595/ 14,417,748

= 0.0834

Average S.H Equity = (Beginning Equity + Ending Equity)/2

Return on Revenue Ratio

Return on Revenue = Net Income / Revenue

= Profit for the period/ Gross written premiums

= 1,202,595/ 7,373,670 = 0.163

Cash Return on Asset Ratio

Cash Return on Asset Ratio = Operational Cah Flow/ Total average Asset

= Net cash generated from operating activities / Total assets
= 3,048,564 / 55,073,890 = 0.05535

Cash EPS

Cash EPS = Operational Cah Flow / Number of outstanding shares

= Net cash generated from operating activities / No: of Ordinary Shares

= 3,048,564/375,000 = 8.1295

Cash Turnover ratio

Cash Turnover ratio = Revenue / Cash and cash equivalent

= 7,373,670 / 1,379,651 = 5.34459 days

Debt to Equity

Debt to Equity = Total liabilities / Total Equity = 40,656,142/ 14,417,748 = 2.81986

Debt Ratio

Debt Ratio = Total liabilities/ Total Assets = 40,656,142/ 55,073,890 = 0.7382

Equity Ratio

Equity Ratio = Total Equity/ Total Assets = 14,417,748 / 55,073,890 = 0.261789

Debt to Asset Ratio

Debt to Asset Ratio = Total Debt/ Total Assets = 5,141,673 / 55,073,890 = 0.0934

Total debt = Loans and Borrowings + Bank Overdraft = 4,729,837 + 411,836 = 5141673

Time interest earned ratio

Time interest earned ratio = EBIT / Interest Expense

= (Profit before Tax + Finance Cost)/ Finance Cost

= (1723670 + 158596)/ 158596

= 11.86830689298595

Long term debt to total Asset

Long term debt to total Asset = Loans and borrowings / Total Assets

= 4,729,837 / 55,073,890 = 0.0858816

Long term debt = Loans and borrowings = 4,729,837

Long term debt to Capitalization Ratio

Long term debt to Capitalization Ratio = Long-term Debt / (Long term debt + common stocks + preferred stock)

=4,729,837 / (4,729,837 + 1,062,500) = 0.81656

Long term debt Ratio

Long term debt Ratio = Long-term debt / total assets = 4,729,837 / 55,073,890

= 0.085881

Long term debt to Share holders' equity

Long term debt to Share holders' equity = Long-term Debt / **Share holders' equity**

= 4,729,837/1,062,500 = 4.451611

Non-Current Asset to Net worth

Non-Current Asset to Net worth = Non-Current Assets / Share holders' Equity

= 50,059,818 / 14,417,748= 3.472096

Non-Current assets = Intangible assets + Property, plant and equipment + Right of use assets + Deferred Tax Assets + Financial investments + Loans to life policyholders + Reinsurance receivables

= 1,970 + 704,102 + 609,992 + 832,739 + 46,950,934 + 336,763 + 623,318 = 50,059,818

Debt to net worth

Debt to net worth = Total liabilities / Total Net worth = 40,656,142 / 14,415,778 = 2.820253

Net worth = Total assets – total liabilities – intangible assets = 55,073,890 - 40,656,142 - 1970 = 14,415,778

Fixed Assets to net worth

Fixed Assets to net worth = Fixed assets / net worth = 1,316,064/ 14,415,778 = 0.0913

Fixed assets = Property, Plant and Equipment + Right of use assets + Intangible assets = 704,102 + 609,992 + 1970 = 1,316,064

Debt to EBITDA

Debt to EBITDA = (Short term Debt + Long term Debt) / EBITDA

= (567,174 + 4,729,837) / 2,030,835 = 2.608

Net Debt to EBITDA = (Total Debt – Cash and Cash equivalent) / EBITDA

= (5,141,673 - 1,379,651) / 2,030,835 = 1.85245

Total debt = Loans and Borrowings + Bank Overdraft = 4,729,837 + 411,836 = 5141673

Financial leverage Index

Financial leverage Index = Return on Equity / Return on Assets

= 55,073,890 / 14,415,778 = 3.8204

Total assets = 55,073,890

Shareholders equity = 14,415,778

Interest expense to Debt Ratio

Interest expense to Debt Ratio = Total interest expense / Total Debt

= 158,596 / 5,141,673 = 0.031

Dividend Yield

Dividend Yield = Dividend per share / Current share price = Interim Dividend (2023) / (Outstanding shares x share price)

= 1,406,250/ (375,000 x 67) = 0.05597

Price to Earnings Ratio

Price to Earnings Ratio = Price per share/ Earning per share = 67.00/ 5.48 = 12.226

Price to Sales Ratio

Price to Sales Ratio = Market Value per share/ Sales per Share

= Market Capitalization / Total Sales

= (375000 x 67.00) / 7,373,670 = 3.40739

Free Cash flow to equity

Free Cash flow to equity = Cash from operations – Capital expenditure + Net borrowing

= 3,048,564 - 67,081 = 2,981,483

CapEx = Purchase of Property, Plant & Equipment (PPE) + Purchase of Intangible Assets = 67,081

Net Borrowing = Proceeds from Long-Term Borrowings - Repayment of Long-Term Borrowings = 0

Dividend Per Share

Dividend Per Share = Dividends / Number of shares = 1,406,250 / 375,000 = 3.75

Dividend payout ratio

Dividend payout ratio = dividend per share/ earning per share = 3.75/ 5.48 = 0.684

Book Value per share

Book Value per share = (Total Equity – Preferred Equity)/ Total Shares outstanding

= 14,417,748 / 350,000 = 41.193565

Price to Book Ratio

Price to Book Ratio = Market price per share / Book value per share

= 67.00/41.20 = 1.626

Retention Ratio

Retention Ratio = (Net income – Dividend distributed) / Net income

= (Profit for the period – Dividend Paid) / Profit for the period

= (1,202,595 - 727,955)/ 1,202,595 = 0.395

Price to Cash flow ratio

Price to Cash flow ratio = Price per share/ Operating Cash flow per share

= Market Capitalization/ operating Cash flow

= (375000 x 67.00) / 3048564 = 8.241585

Accumulated Depreciation to Fixed Asset Ratio

Accumulated Depreciation to Fixed Asset Ratio = Accumulated Depreciation/ Fixed Asset = Depreciation of property, plant and equipment / property, plant and equipment

= 70,407 / 704,102 = 0.099995

Note – since accumulated depreciation is not available, value of depreciation is used.

Free Cash flow

Free Cash Flow = Cash from operations – Capital expenditure

= 3,048,564 - 67,081 = 2,981,483

Free Cash Flow to Sales Ratio

Free Cash Flow to Sales Ratio = Free Cash Flow/ Sales Revenue

= 2,981,483 / 7,373,670 = 0.4043